

BANARAS HINDU UNIVERSITY

B.Com. (Hons.) — Semester VI Examination, 2022-23

Paper No. BCH-321: Financial Analysis

Time: 3 Hours

Maximum Marks: 70

Instructions: Attempt all questions. All questions carry equal marks (14 marks each).

Question 1. “Inability to understand and deal with financial data proves to be a serious handicap in managing a business successfully.” Explain the statement. [14]

OR

“For the purposes of financial statement analysis, the items of income statement and balance sheet cannot be taken as they are. They are required to be reclassified so as to unfold and understand the hidden information.” Explain the statement. [14]

Question 2. From the following information, prepare the balance sheet of A Ltd: [14]

Particulars	Ratio / Amount
Net Working Capital	Rs. 12,00,000
Cost of Sales to Closing Stock Ratio	8
Gross Profit Ratio	20%
Fixed Assets Turnover Ratio (on cost of sales)	2
Current Ratio	3
Liquid Ratio	2
Debtors Collection Period	2 months
Ratio of Fixed Assets to Shareholders' Net Worth	0.75
Ratio of Reserves and Surplus to Capital	0.60

OR

What is ratio analysis? Why is it done? What are its limitations? [14]

Question 3. From the following details, you are required to prepare the Cash Flow Statement of Alfa Ltd: [14]

Statement of Profit and Loss for the year ended 31st March, 2022

Particulars	Note No.	Amount (Rs.)
I. Revenue		
Revenue from Operations	1	32,00,000
Other Income	2	50,000
Total Revenue		32,50,000
II. Expenses		
Cost of Goods Sold		20,00,000
Finance Cost	3	15,000
Depreciation		2,10,000
Other Expenses	4	7,91,000
Total Expenses		30,16,000
Profit Before Tax (I - II)		2,34,000
Less: Provision for Income Tax		92,000
Profit for the year		1,42,000

Notes to Accounts:

Particulars	Amount (Rs.)
1. Revenue from Operations	
Sales of goods in trade	32,00,000
2. Other Income	
Government compensation for loss in riots	50,000
3. Finance Cost	
Interest on Debentures	15,000
4. Other Expenses	
Operating Expenses	7,90,000
Cost of issue of debentures written off	1,000
Total	7,91,000

Comparative Balance Sheet Items:

Particulars	Year 2021 (Rs.)	Year 2022 (Rs.)
Inventories	1,80,000	2,20,000
Trade Debtors	40,000	38,000
Bills Receivables	30,000	55,000
Balance with Bank and Cash in Hand	1,17,000	2,48,000
Trade Creditors	78,000	95,000
Bills Payables	20,000	15,000
Outstanding Expenses	31,000	44,000

Additional Information: The following important transactions have taken place during the year ended 31st March, 2022:

- (a) Fully paid equity shares of the face value of Rs. 2,00,000 were allotted at a premium of 20%.
- (b) 10% debentures for Rs. 3,00,000 were redeemed at a premium of 2%.
- (c) Land was purchased for Rs. 1,50,000 and the consideration was discharged by the allotment to the vendor of zero per cent convertible debentures for the amount.
- (d) Dividend and dividend distribution tax thereon for the year ended 31st March, 2021 amounting to Rs. 1,15,000 was paid.
- (e) Income tax paid during the year totaled Rs. 95,000.

OR

What is Funds? What is flow of funds? How is fund from operation calculated? [14]

Question 4. What is financial forecasting? Why is it done? [14]

OR

How is a projected income statement prepared? Explain by giving a suitable example. [14]

Question 5. The following particulars are supplied to you to calculate the value of goodwill on the basis of capitalisation of super profit: [14]

- (a) Capital Invested: Rs. 10,00,000
- (b) Trading Results:

Year	Profit (Rs.)
2015	50,000
2016	1,50,000
2017	3,00,000
2018	5,00,000
2019	8,00,000

- (c) Standard rate of return in the industry is 20%.

Also throw light on as to how the trend in trading results could be taken into account while calculating the super profit.

OR

Explain a method of share valuation which you think is the best.

[14]